Research Statement

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My research sits at the intersection of empirical macroeconomics, corporate finance, and asset pricing. I study how idiosyncratic financial decisions by firms and institutions, often overlooked in macro models, such as payout choices and disclosure decisions, spill over to other agents and aggregate into macro-relevant outcomes. Across projects, I combine rich micro data with both micro tools (event studies, IV) and macro methods (VARs, local projections, cross-country panels) to identify transmission mechanisms that are hard to detect in aggregates alone. A unifying theme is that the economic impact of a decision often occurs *outside* the decision-maker: repurchases shift investor demand towards peers; transition to another tier changes liquidity for non-switchers; and resilience to global shocks can alter not only volatility but also the allocation of capital across countries.

Spillovers from payout policy: repurchases and peer financing. A large literature studies why firms repurchase and how buybacks affect the repurchasing firm, but less is known about how buybacks reallocate scarce risk-bearing capacity across the economy and thereby affect other firms' financing and investment. In *Firms' Payout Policies and Capital Reallocation*, I show that buybacks can relax financing constraints for other firms by shifting investor demand toward close substitutes, which subsequently issue more equity and increase real investment, generating real effects outside the repurchasing firm. A natural next step is to quantify how this channel contributed to QE transmission: firms directly benefiting from lower corporate borrowing costs may have repurchased more, raising equity prices and indirectly easing financing conditions for rivals that did not benefit directly through credit markets.

Endogenous market structure and information frictions in OTC markets. OTC markets provide a laboratory for how institutional design shapes information production and liquidity. In *Endogenous Market Structure in OTC Markets: A Theory of Optimal Market Fragmentation* (with Nicolò Ceneri), we develop a mechanism-design model in which a platform induces endogenous sorting across disclosure tiers and the resulting quality pools generate a strict liquidity hierarchy in equilibrium. Using firm transitions as a proxy for changes in a tier's quality composition, we find such events impair liquidity and market-maker activity among non-transitioning firms, as predicted by the model.

Global shocks and the changing resilience of emerging markets. A central question in international macroeconomics is how external shocks transmit to emerging markets (EMs) and how domestic institutions mediate these spillovers. In *Structural and Policy Drivers of Post-COVID Emerging-Market Resilience* (with J. Leon Murillo and A. Zdzienicka), we study why globalization has not uniformly increased EM vulnerability. We provide evidence that resilience improved after Covid due to measurable institutional and structural improvements post-GFC, while financial integration left some countries exposed. An important next step is to assess the welfare implications of reduced spillovers: resilience is beneficial if it reflects better stabilization, but may be ambiguous if shocks historically facilitated productive reallocation. I plan to test whether greater resilience is associated with weaker allocative efficiency (e.g., entry/exit and investment reallocation) and whether stabilization policies inadvertently slow reallocation.

Research agenda. Taken together, my work provides a micro-founded view of macro transmission: buybacks, market design, and policy frameworks operate through spillovers across firms and countries. My goal is to build empirical and structural tools that map these spillovers into welfare-relevant outcomes and inform policy debates.